



NATURAL RESOURCES DEPARTMENT

POLICY NOTE 2026 – 2027

DEMAND No. 55

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Minister for Natural Resources

©
Government of Tamil Nadu
2026

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1. DEPARTMENT OF GEOLOGY AND MINING

Introduction

Mineral resources contribute a vital component of the State's economic development, providing essential raw materials for infrastructure, manufacturing, construction, energy and other downstream industries. The Department of Geology and Mining is entrusted with the scientific exploration, sustainable extraction, conservation, regulation and management of mineral resources in accordance with statutory provisions.

The Department is committed to ensuring the availability of minerals for economic growth while safeguarding environmental sustainability and protecting the interests of local

communities. Special emphasis is being placed on technology-driven mineral governance, transparent regulatory systems, scientific mining practices, revenue augmentation and stringent enforcement against illegal mining and mineral transportation.

The Government adopts a policy of zero tolerance towards illegal mining and is strengthening monitoring mechanism and integrated digital mineral management systems through new technologies. Simultaneously, efforts are being undertaken to expand mineral exploration, create comprehensive mineral inventories, facilitate responsible mineral development, and improve ease of doing business for compliant leaseholders.

For conservation of resources for future generations, sustainable utilization of mineral resources will be emphasized by way of ensuring

scientific and responsible mining, protection of the environment and sustained economic growth through optimum revenue and balanced development.

The Department's vision is to establish a robust, transparent, and sustainable mineral administration framework that maximizes public value from mineral resources.

The Department was formed as a separate Directorate of Geology and Mining vide G.O.(Ms).No.387, Industries Department, dated 24.03.1983. Thereafter, the Directorate of Geology and Mining, functioned under the Industries Department, was transferred to Natural Resources Department vide G.O.(Ms).No.16, dated 07.01.2022, and has since been functioning under the administrative control of the Natural Resources Department.

1.1 Vision & Mission of the Department

To consolidate the leadership position of Tamil Nadu in the management of mineral wealth.

To undertake and facilitate scientific exploration, optimal exploitation, judicious conservation, and revenue maximization in an industry, eco and a citizen friendly policy framework.

1.2 Objectives of the Department

- (i) Ensure scientific, sustainable exploration and extraction of minerals.
- (ii) Grant and manage mineral concessions (exploration licenses, composite licenses, mining / quarry leases, quarry permissions).
- (iii) Generation of revenue from minerals by ensuring proper collection of lease amounts, royalties, seigniorage fees,

- mineral bearing land tax, dead rent, and other mineral revenues.
- (iv) Promote mineral development for industrial and economic growth and thereby create employment opportunities.
 - (v) Enforcement for preventing unauthorized mining and transportation of mineral.
 - (vi) Maintain mineral resource database and support mineral exploration activities.
 - (vii) Implementation of public welfare projects and community development through District Mineral Foundation Trust fund in mine affected areas.
 - (viii) Restoration, reclamation and rehabilitation of abandoned quarries through Green Fund.
 - (ix) Ensure worker safety and compliance with mines safety regulations.
 - (x) Support value addition and downstream industries through mineral policy initiatives.

- (xi) Adoption of State-of-the Art technology in mining and enforcement activities.

1.3 Activities of the Department

1.3.1 Mineral Exploration

As per the Mines and Mineral (Development and Regulation) Amendment Act, 2015, the grant of mineral concession for major minerals shall be through auction process. For this purpose, the mineral bearing areas have to be explored as per the norms prescribed in Mineral (Evidence of Mineral Contents) Rules, 2015.

The Government of India notified exploration agencies viz., Government and private exploration agencies are carrying out mineral exploration programs for identification of mineral resources in the State. Furthermore, to improve mineral exploration capacity of the department, a fund of Rs.4.99 crore has been obtained through the National Mineral

Exploration Trust (NMET) to procure modern exploration tools and chemical laboratory equipment, and procurement is underway.

Mineral exploration is essential to find out new mineral deposits and also to update the available mineral resource of the State. A separate exploration wing is an essential requirement for mapping the underground mineral wealth, to update and reassess the existing resources; systematic geological investigation in the unexplored / underexplored areas as per UNFC norms; to generate reliable geological data for auctioning mineral blocks in accordance with statutory provisions; facilitate scientific mine planning, sustainable development and critical / strategic mineral exploration (rare earth elements); and strengthen technical coordination with national bodies such as the Geological Survey of India

(GSI) and Mineral Exploration and Consultancy Limited (MECL).

1.3.2 Geo-Technical Cell

Geo-Technical Cells have been set up at the Geology and Mining Department office in the Nilgiris district, and in Kodaikanal (Dindigul district), Tiruvannamalai, and Tirunelveli districts. These cells protect the lives and properties of the public by identifying landslide-prone areas in hill regions, providing methods and technical guidance to the district administration to prevent landslides. Additionally, the Geo-Technical Cells recommend relief measures to the district administration to prevent natural disasters.

The Department inspects construction sites undertaken by private and Government entities in hill areas and provides geo-technical feasibility reports. The Department has issued

250 geo-technical reports during the period from April 2026 to June 2026.

1.3.3 Mineral Administration

The Department administers major minerals, minor minerals, critical minerals, online permits, online mineral concessions including auction for minor minerals. The department also plays a vital role in mineral resource management, prevention of illegal mining and transportation of minerals and technology driven surveillance system such as Drone surveys, DGPS and MiMaS, collection of statutory mineral revenue including DMFT fund, Green fund and NMEDT fund, implementation of Government policies, statutory compliances, Audit objections, Court cases and coordination with District administrations and various Government Departments.

1.3.4 Mineral Resources

The mineral resources are broadly classified into major minerals, atomic minerals, critical & strategic minerals and minor minerals under MMDR Act, 1957. The hydrocarbons viz., crude oil and natural gas comes under the purview of the Oilfields (Regulation and Development) Act, 1948.

Major minerals include limestone, magnesite, marl, quartz, feldspar, lignite, vermiculite. Atomic minerals include Beach Sand Minerals such as Garnet, Rutile, Ilmenite, Zircon, Leucoxene, Sillimanite and Monazite. Critical & Strategic minerals include Graphite, Tungsten, Molybdenum, Platinum group of elements, Rare earth elements. Minor minerals are multi-colored granite, black granite, rough stone, silica sand, quartzite, dunite, calcite, lime kanker, fire clay, gravel, earth and pebbles.

These mineral resources contribute significantly to the industrial and economic development of the State.

Details of Operative Mining Leases / Quarries

Major Minerals

Sl. No.	Mineral	No. of Operative Mines	Extent (Ha.)
1	Oil & Natural Gas	22	172111.00
2	Lignite	1	25900.00
3	Atomic minerals	2	148.69
4	Limestone	54	3356.14
5	Magnesite & Dunite	1	77.50
6	Quartz & Feldspar	11	22.49
Total		91	201615.82

Minor Minerals

S. No.	Mineral	No. of Operative Quarries	Extent (Ha.)
1	Rough Stone	1490	3386.72
2	Black Granite	34	299.87
3	Multi-color Granite	80	246.19
4	Gravel	57	126.12
5	Earth	104	172.85
6	Pebbles	4	10.43
7	Dolomite	2	3.30
8	Silica Sand	1	1.34
9	Fire Clay	8	18.25
10	Lime Kankar	21	1762.67
11	Ball Clay	1	489.13
12	Calcite	1	4.19
Total		1803	6521.06
Grand Total		1894	208136.88

1.3.5 Granting of Mining Leases (ML) and Composite Licenses (CL) for Limestone Blocks through E-Auction

e- Auction was conducted for 11 limestone Mining Lease (ML) Blocks in Ariyalur and Cuddalore District. In Ariyalur district, 10 Mining Lease (ML) Blocks were successfully auctioned and preferred bidders were selected and Rs.22.71 Cr was collected from them as 20% of upfront payment.

e- Auction was conducted for 12 Limestone Composite Licence (CL) Blocks in Ariyalur, Perambalur and Tiruchirappalli Districts and preferred bidders were selected for these blocks.

For auctioning of 22 limestone mineral blocks in a single phase, Tamil Nadu secured 3rd place nationally and was appreciated by the Ministry of Mines, Government of India.

1.3.6 Mineral Management System (MiMaS Portal)

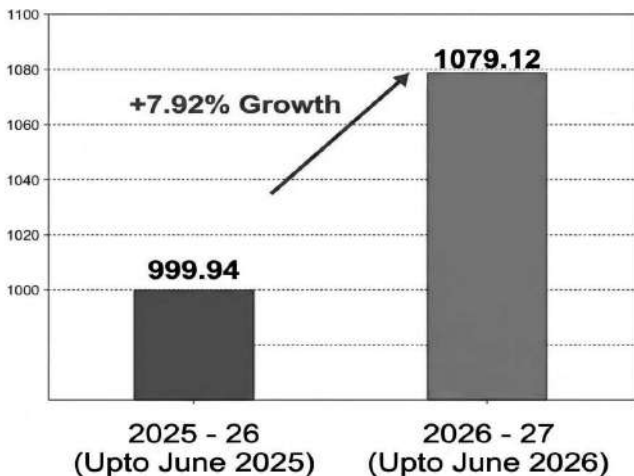
Applications for quarry leases are being received online and quarry licenses, transport permits and transit passes are being issued through digital platforms. Simultaneously, initiatives are being undertaken to strengthen monitoring mechanism through the adoption of modern technologies.

1.3.7 Mineral Revenue

Mineral revenue achieved by the Department over the years (2021-22 to 2026-2027) through royalty/seigniorage amounts, mineral bearing land tax, annual compensation, dead rent, area assessment, surface rent, annual brick mineral fee, application fee, cost of minerals, penalty, lease amount, and Green Fund collected from major/minor mineral leaseholders are;

Sl. No.	Year	Revenue Achieved (Rs. in Crore)
1	2021-2022	1212.87
2	2022-2023	1679.96
3	2023-2024	1835.47
4	2024-2025	1931.73
5	2025-2026	4395.68
6	2026-2027 (up to June 2026)	1079.12

The Department has achieved ₹1,079 crore in mineral revenue during current financial year (April to June 2026), as against ₹999 crore during April to June 2025 of the previous financial year, reflecting sustained growth in revenue collection.



1.3.8 Mineral Bearing Land Tax

The Hon'ble Supreme Court of India, in its judgment dated 25.07.2024 in the case of Mineral Area Development Authority and Another Vs. Steel Authority of India and Another etc., held that the State Government is competent to tax on mineral-bearing lands.

Based on the order of the Hon'ble Supreme Court, Tamil Nadu Mineral Bearing Land Tax Act, 2024 and the Tamil Nadu Mineral Bearing Land Tax Rules, 2025 were enacted and the MBLT is being collected from the lease holders w.e.f. 04.04.2025.

During FY 2025-26, Rs.2,265 crores was collected and in the FY 2026-27 (upto June), Rs.599 crores has been collected.

1.3.9 Detection of Illegal mining and transportation of minerals

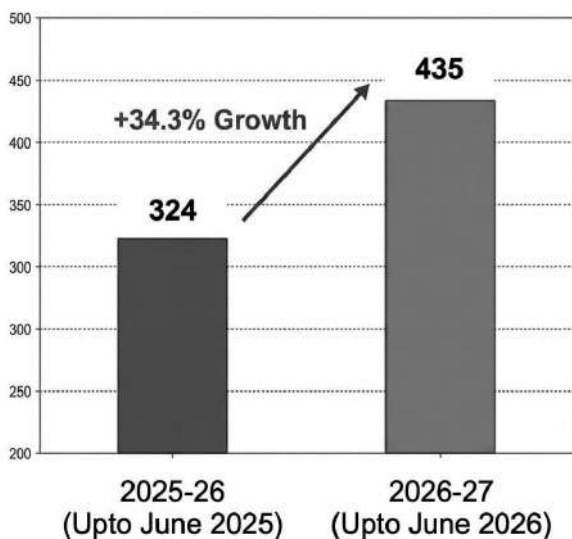
To curb illegal mining and transportation of mineral, District Level Task Force committee

chaired by District Collectors and Taluk Level Task Force committee headed by Tahsildars are constituted by the Government comprising officials from Revenue, Police, Mines, Pollution, Forest, WRD.

Further, Regional flying squads of the Department of Geology and Mining are functioning in Madurai, Tiruchirappalli, Villupuram, Salem, Coimbatore, and Tirunelveli. In addition, Special task forces have been constituted from time to time to have a strong vigil on illegal mining, unregulated crushing units and interstate illicit transportation of minerals.

In FY 2025-26 (April-June), a total of 147 illegal quarries were detected. In FY 2026-27 (April-June), 212 illegal quarries were detected, and First Information Reports (FIRs) have been registered in 79 cases. This is 44.22 % higher compared to the previous year.

A total of 1,307 vehicles were seized in FY 2026-27 (April–June). Compared to the same period in the previous FY, an average of 324 vehicles were seized per month. Whereas from April to June in the current FY, an average of 435 vehicles were seized per month. This records an increase of about 34.3 % in the monthly average of vehicle seizures. Furthermore, 1,082 First Information Reports (FIRs) were registered. The enforcement activities shall be strengthened with technology enabled mechanism.



1.3.10 Unmanned Aerial Vehicles (Drones) & Surveillance System

The Department uses drone technology in the geo fenced lease hold areas to carry out surveys for measuring the quantity excavated and identifying the boundary and depth violations for assessment of excess quarrying activities. So far, 1,085 quarries have been surveyed. Of these, violations were detected in 315 quarries and penalty amount of Rs.300.76 crore were imposed, and Rs.34.49 crore was collected.

To enhance the accuracy and reliability in the assessment of the depth of quarrying in undulated terrain and in water logged areas advanced LiDAR-mounted drone surveys shall be implemented in future through Empanelled agencies.

1.3.11 Integrating Weighbridges with the MiMaS Portal

As a first phase, 49 weighbridges installed in major mineral mining lease areas were integrated with the Mineral Management System (MiMaS) Portal in Ariyalur, Perambalur, Tiruchirappalli, Dindigul, Karur, Salem, Thoothukudi, Tirunelveli, Tenkasi, and Virudhunagar Districts. In the second phase, installation of weighbridges by the minor mineral lessees shall be expedited and integrated with MiMas portal to ensure accountability and transparency in mineral transportation.

1.3.12 GPS in vehicles transporting minerals

It is mandated to install AIS-140 standard GPS devices in the vehicles for monitoring mineral laden vehicles. So far, GPS devices have been installed in 12,138 vehicles and linked to the MiMaS portal. Furthermore, works are underway to integrate a real-time monitoring

facility through Google Maps with the MiMaS portal.

1.3.13 Green Fund

For Reclamation, Restoration and Rehabilitation (RRR) of abandoned quarries, Green Fund are being collected from all minor mineral leaseholders for transporting minor minerals. So far, Rs.314.75 Crore was collected towards Green Fund.

1.3.14 District Mineral Foundation (DMF)

The District Mineral Foundation Trust under the chairmanship of the District Collector were established in all the districts except the Nilgiris by collecting 10% or 30% of royalty or seigniorage fee from the lease holders for the welfare of the mine affected people and the area by mining operations. So far (June, 2026), Rs.1,963.73 crores were collected towards DMF

from the leaseholders and 4916 projects were implemented at a cost of Rs.1520.06 crores.

1.4 Policy Initiatives

The mining sector has undergone a massive transformation globally in terms of new technology and policy for mineral exploration, extraction, sustainable supply chain, recycling, manufacturing and value addition of mineral resources. With emerging requirements for critical and strategic minerals, to contribute long term development and optimum utilization of mineral resources for future generations, it is essential to review the existing policy framework governing the mining sector.

2. TAMIL NADU MINERALS LIMITED

Tamil Nadu Minerals Limited, is a State Public Sector undertaking formed in April 1978. The objective of Tamil Nadu Minerals Limited (TAMIN) is to carry out exploitation, processing and sale of major minerals such as Graphite, Limestone, Quartz, Vermiculite and minor minerals such as Black and multi-colour Granite blocks, Silica Sand, Laterite and Fireclay.

2.1 Vision

Aspire to be top in the mineral sector by adopting scientific and sustainable mining.

2.2 Mission

To create new business and help existing businesses to expand.

2.3 Staff Strength

There are 175 Officers and Staff and 176 Workers in Tamil Nadu Minerals Limited.

2.4 TAMIN has obtained leases on mineral bearing lands for production, processing and sale of minerals. They are given in Table-1.

Table-1
Mineral Leases

Sl. No.	Name of Mineral	No. of leases	Extent in Hectares
Major Mineral			
1	Graphite	02	241.77.5
2	Limestone	02	12.74.5
3	Quartz	01	4.07.0
4	Vermiculite	01	23.71.0
Minor Mineral			
5	Black Granite	24	481.53.93
6	Colour Granite	08	98.45.0
7	Silica Sand	02	6.50.0
8	Fireclay & Laterite	01	1.21.5
Total		41	870.00.43

2.5 Financial Performance

The sales turnover and profit of TAMIN during the last 3 financial years are given in Table-2 below: -

**Table-2:
Financial Performance**

(Rs.in Crore)

Financial Year	Turnover	Profit before tax	Net Profit
2023-24	114.87	2.50	1.09
2024-25	133.52	4.67	3.77
2025-26	120.76	5.24	4.68

TAMIN has been venturing into production and sale of other minerals such as Rough Stone, Gravel and Earth to increase the sales turnover to Rs.166 Crore during this financial year 2026-2027.

2.6 New Initiatives

Through a slew of new business ventures, TAMIN is committed to enhance substantial revenue in the ensuing years.

- (a) TAMIN to augment the process of beneficiation in the existing Graphite beneficiation plant / mines situated at Puduppatti, Kumarapatti, Senthudaiyanathapuram village, in Sivagangai District. Through this, the fixed carbon of 96% in the Graphite flakes will be upgraded to 99.99% fixed carbon in the finished product of uncoated spherical purified Graphite. This will have wide application in the manufacture of electric vehicle batteries.
- (b) TAMIN to enter into the production of Rough Stone and gradually into production of M-Sand in the districts of Dharmapuri, Perambalur, Tiruvannamalai, Salem and

Villupuram. These activities will reinforce TAMIN's mining operations and expand its presence in the M-Sand and Rough Stone sector.

- (c) TAMIN to enter into the extraction, production and sale of Heavy Minerals.
- (d) TAMIN to venture into the business of Gravel and Earth to cater the growing needs of Gravel and Earth in the linear sector projects.

3. TAMILNADU MAGNESITE LIMITED

Tamil Nadu Magnesite Limited is a State Public Sector Undertaking formed in 1979. It has obtained lease on land bearing minerals Dunite and Magnesite, over an extent of 96.34 hectares or 238 acres in Kurumbapatty Reserve Forest area in Salem District. The objective of TamilNadu Magnesite Limited (TANMAG) is to extract, process and sale of Dunite and Magnesite.

3.1 Mining Division

TANMAG has been mining Dunite and Magnesite in the Kurumbapatty Reserve Forest area through open cast and semi-mechanised mining. The process of mining Raw Magnesite involves selection and preparation of site, drilling, blasting, picking, dressing, sorting, stacking and removal of rejects to spoil bank. As per mining plan, the reserves of Dunite and Magnesite are 19,98,541 MT and

22,46,968 MT. Dunite is sold as raw material to industries whereas the Magnesite is processed as Dead Burnt Magnesite and Lightly Calcined Magnesite and sold to industries.

3.2 Kiln Division

TANMAG has been operating two kilns namely; Rotary Kiln Division and Shaft Kiln Division

(a) Rotary Kiln Division

The production capacity of this kiln is 30,000 metric tonnes per annum. Using furnace oil as fuel, raw Magnesite is sintered at a temperature of 1750⁰c, and during this process volatiles are removed and crystal form of Magnesite is obtained. It is known as Dead Burnt Magnesite. It is used as refractories in industries and as monolithic in steel industries.

(b) Shaft Kiln Division

The production capacity of this division is 17,000 metric tonnes per annum. Using furnace oil as fuel, Raw Magnesite is sintered at a temperature of 1000–1100⁰c, and the powdered form of Magnesite obtained is known as Lightly Calcined Magnesite. It is used in the manufacturing of emery stones as grinding wheel, polishing abrasives for granite and marble polishing, adhesives for ball mill to fix the grinding stones, pharmaceuticals, agro-feeds and animal feeds.

3.3 Staff Strength

There are 37 Officers and Staff and 142 workers in TANMAG.

3.4 Corporate Social Responsibility

TANMAG has been funding under Corporate Social Responsibility. In the last 2 financial years, Rs.131.10 lakh has been spent for saplings in the Nagaravanam Project and

construction of pipeline from TANMAG mines to check dam at Thekkampatty Panchayat.

3.5 Financial Performance

The sales turnover and profit of TANMAG and payment of dividend to Government during the last 3 financial years is given in the table 1 below:-

Table – 1
Financial Performance
(Rs.in Crore)

Financial Year	Sales Turnover	Profit	Dividend
2023-2024	88.39	36.93	5.72
2024-2025	110.39	52.72	15.39
2025-2026	75.55	29.94	2.50
Total	274.33	119.59	23.61

3.6 Action plan for the financial year 2026-2027

It has been planned to produce 39,800 metric tonnes of Raw Magnesite, 13,000 metric tonnes of Dead Burnt Magnesite, 5,800 metric tonnes of Lightly Calcined Magnesite and 1,00,550 metric tonnes of Dunite and through sales of Dunite and processed Magnesite set to achieve a sales turnover of Rs.145 Crore during the financial year 2026-2027.

Dr.TK.PRABHU
MINISTER FOR NATURAL RESOURCES



The Hon'ble Chief Minister's Departmental review of Natural Resources Department on 04.06.2026.



The Hon'ble Chief Minister's Departmental review of Natural Resources Department on 27.07.2026.



Puliyarai Checkpost in Tenkasi District was inspected by the Hon'ble Minister for Natural Resources on 25.05.2026.



The Hon'ble Minister for Natural Resources inaugurated tree-plantation programme on World Environment Day at Ariyalur on 05.06.2026 and all so distributed safety equipments to the quarry labours.

Dispatch Slip Generation

Get Tare Weight

Search

Mine Code & Permit	Dispatch Number	Vehicle Registration Number	Tare Weight	Gross Weight	Mineral Net Weight	Current Status
ARIM0001 ARI260000387	DISP000009593784 Limestone	TN61Y0751 - Taurus 30	11.860 MT 03-07-2026 12:43 PM	38.620 MT 03-07-2026 1:25 PM	26.760 MT	Completed
ARIM0001 ARI260000387	DISP000009592907 Limestone	TN61X1546 - Taurus 30	13.560 MT 03-07-2026 12:23 PM	44.460 MT 03-07-2026 12:59 PM	30.900 MT	Completed
ARIM0001 ARI260000387	DISP000009591527 Limestone	TN61K7201 - Taurus 30	11.720 MT 03-07-2026 11:54 AM	41.680 MT 03-07-2026 12:27 PM	29.960 MT	Completed
ARIM0001 ARI260000387	DISP000009590865 Limestone	TN61Y4790 - Taurus 30	14.860 MT 03-07-2026 11:28 AM	45.340 MT 03-07-2026 12:14 PM	30.480 MT	Completed
ARIM0001 ARI260000387	DISP000009590583 Limestone	TN61Y0724 - Taurus 30	11.680 MT 03-07-2026 11:01 AM	47.860 MT 03-07-2026 12:07 PM	36.180 MT	Completed
ARIM0001 ARI260000387	DISP000009590189 Limestone	TN61Y0751 - Taurus 30	11.960 MT 03-07-2026 10:53 AM	48.040 MT 03-07-2026 11:56 AM	36.080 MT	Completed



Integration of weighbridges with MiMaS portal for real-time monitoring of mineral transport inaugurated by the Hon'ble Minister for Natural Resources on 05.06.2026.



The Hon'ble Minister for Natural Resources chaired a meeting on 11.06.2026 with representatives of stone quarries & lorry owners, brick kiln associations and also conducted a review meeting with the Department Officials on 12.06.2026.

